

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.’S
OPPOSITION TO NON-PARTY ZIM INTEGRATED SERVICES LTD.’S MOTION TO
QUASH**

Pursuant to Federal Maritime Commission (“FMC”) Rules of Practice and Procedure (the “Rules”) 46 C.F.R. §§ 69 and 71, Complainant Peloton Interactive, Inc. (“Peloton”) files this opposition to non-party Zim Integrated Shipping Services Ltd.’s (“Zim’s”) motion to quash Peloton’s subpoena (“Motion to Quash”).

Introduction

The Commission has long favored “making its decision based on the most complete record available.” *Anderson Int’l Transp. and Owen Anderson – Possible Violations of Sections 8(A) and 10 of the Shipping Act of 1984*, Dkt. No 07-02, 2009 WL 6084172, *2 (FMC Dec. 4, 2009) (citing *Hudson Shipping (Hong Kong) Ltd. d/b/a Hudson Express Lines-Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 SRR 1376 (ALJ 2002)). While there may be competing

interests between the Commission's need to promptly resolve disputes and its responsibility to consider a full and complete record, ultimately the Commission's policy is that "the evidentiary record be fully developed...before an initial decision is rendered." *Id.* In fact, the Commission has made clear "it is not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts." *Samsung Electronics America, Inc. v. SM Line Corp.*, Order Granting Complainant's Motion Requesting the Presiding Officer Issue a Subpoena After the Discovery Cutoff, Dkt. No. 23-01, 2024 WL 4357751, *1 (ALJ Sept. 23, 2024) (citations omitted). Here, Zim is in possession of documents and communications that are directly relevant to Peloton's claims in this proceeding, no proper foundation of a burden has been provided, and Peloton has appropriately subpoenaed those documents and communications. To ensure the record in this case is fully developed and all relevant facts are available to the Commission, Peloton respectfully submits Zim be ordered to comply with the Subpoena.

Background

On October 2, 2024, Peloton filed its amended verified complaint with the FMC, alleging that Flexport International LLC ("Flexport") failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton's property, in violation of multiple sections of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.*, as amended (the "Shipping Act"). Discovery commenced on November 13, 2024. Through discovery, Peloton identified multiple categories of documents relevant to this proceeding which are in the custody and control of Zim, a vessel operating common carrier that is not a party to this proceeding but that transported many of the Peloton containers at issue on behalf of Flexport.

Pursuant to FMC Rules and procedure, on March 6, 2025, Peloton served Zim with a subpoena seeking records connected to the Peloton shipments at issue in this proceeding which were carried by Zim (“the Subpoena”). In response to the Subpoena, Zim filed the instant Motion to Quash pursuant to Rule 132(a).

Legal Standard

Commission Rule 131 provides that a subpoena for the production of evidence “shall be issued upon request of any party.” 46 C.F.R. § 502.131. The scope of a document request pursuant to a subpoena issued to a non-party is governed by Rule 141(e), which allows a party to a proceeding to “obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense.” 46 C.F.R. § 502.141(e)(1). Rule 141(e) allows the Presiding Officer on motion to limit discovery where “the burden or expense of the proposed discovery outweighs its likely benefit.” 46 C.F.R. § 502.141(e)(2).

Argument

The Subpoena issued by Peloton to Zim is narrowly tailored and Zim has failed to provide any evidence to support its argument that it is unduly burdensome. The Subpoena seeks documents in Zim’s possession reflecting “non-privileged communications (internal and external) with Flexport International LLC in connection with Peloton Shipments and/or Demurrage and Detention charges in connection with Peloton Shipments, including the movement of Peloton Shipments during the relevant time period” and “supporting documents and records in connection with Peloton shipments.” Subpoena at 4. The specific Peloton Shipments for which documents and communications are sought are listed in Exhibit A to the Subpoena. Under Rule 141, Peloton may obtain discovery on any non-privileged matter relevant to its claim from a non-party pursuant to

FMC Rules. The narrowly tailored request for documents related to the discrete list of shipments provided in Exhibit A is well within the scope of Rule 141.

Zim does not deny that it has possession of the documents sought by the Subpoena, that the documents are relevant to Peloton's claims, or that Peloton is entitled to the documents. Zim's primary argument is that "all or virtually all" of the documents sought by the Subpoena "can be easily obtained from Flexport." Subpoena at 3. Peloton agrees with Zim that, to the extent the documents are in Flexport's possession, Flexport has a responsibility as a party to this proceeding to produce the relevant documents and communications between Flexport and Zim. When denying Flexport's motion for judgment on the pleadings, the Presiding Officer also highlighted the "import of discovery and a more fully developed record here in fairness to Peloton, the party with the ultimate burden of proof." Order Denying Motion for Judgment on the Pleadings and Denying Cross-motion to Strike [Dkt. 35], p. 7. Nevertheless, Flexport has derogated its discovery duties and Peloton has a pending motion to compel submitted January 14, 2025, to address Flexport's outright refusal to produce relevant information. *See* Complainant's Mot. to Compel [Dkt. 32], pp. 5-8. In the interim, Peloton timely issued this non-party subpoena so that it could urgently gain access to these relevant documents during the deposition phase of the case which is currently scheduled to close on March 28, 2025. *See* Second Amended Scheduling Order [Dkt. 39].

Further, Zim clearly indicates there are documents responsive to the Subpoena that are not in Flexport's possession when it states "*all or virtually all* of these documents ... should be available for Flexport via the discovery process." Motion to Quash at 4 (emphasis added). Zim both acknowledges that it possesses the documents Peloton seeks and confirms among them are documents that may not be available from Flexport. *Id.* Peloton has the burden to prove its allegations that Flexport violated the Shipping Act; to that end, Peloton is entitled to all non-

privileged information relevant to its claims in order to prove its case. As noted by one ALJ denying a non-party's motion to quash a subpoena duces tecum and deposition, the Commission's "discovery rules are broadly interpreted so that they can achieve their salutary purposes." *Kawasaki Kisen Kaisha Ltd v. Intercontinental Exch. Inc.*, Ruling Modifying Subpoena Duces Tecum and Deposition of Ms. Ellen Red, Dkt. No. 00-01, 2000 WL 1071947, *2 (ALJ Jul. 21, 2000). Construing Rules 131 and 141 broadly, Zim possesses documents relevant to Peloton's claims, the Subpoena was issued requiring Zim produce those documents, and Zim must be required to comply with the Subpoena.

Zim's other basis for requesting the Subpoena be quashed is the "burden and expense" associated with producing the information. Motion to Quash at 4. While imposition of an undue burden is a basis upon which a Presiding Officer may decline to issue a subpoena, the party moving to quash a subpoena must provide *specific detailed information* regarding the costs and burden of a search. *See Samsung Electronics America, Inc. v. SM Line Corp.*, Order Regarding Discovery Motions [Dkt. Nos. 40, 41, 42, 43, 44, and 51], Dkt. No. 23-01, 2024 WL 402470, *4 (ALJ Jan. 24, 2024) (finding assertions that "the burden of compliance" with a subpoena did not hold up where the objecting party has not explained or provided detailed information in its motion to quash for why it "could not efficiently search for such information or what the costs and burdens of such a search would be"). In its Motion to Quash, Zim has provided no detail or explanation whatsoever as to what the actual burden and cost of complying with the Subpoena might be. Without any detailed information, when weighing the relative expense of complying with the Subpoena against the benefits of discovery and the Commission's obligation to ensure a full and complete record is developed, the Motion to Quash must fail.

Peloton is mindful of the costs of responding to the subpoena, and an accommodation could have been explored. This did not occur because Zim chose to file this motion to quash before engaging in such discussion.

Finally, as almost an afterthought, Zim asserts that “Peloton’s complaint in this proceeding does not identify the number of shipments at issue or the amount of allegedly unlawful demurrage or detention assessed by Flexport. Therefore, there is no way to know if all, some, or any of the 656 shipments for which Peloton seeks virtually all documents from a non-party are the subject of this proceeding.” Motion to Quash at 4. To see that the documents and communications sought are not only relevant but essential to Peloton’s claims, including its claim for monetary damages incurred as a result of improper detention and demurrage charges, Zim need look no further than Exhibit A to Peloton’s Amended Complaint and Exhibit A to Flexport’s Answer to the Amended Complaint. Both documents are publicly available through the Commission’s Reading Room, set forth the unlawful charges imposed by Flexport on each shipment, and clearly demonstrate that the 656 shipments listed in the Subpoena are at issue in this proceeding.

Conclusion

For the foregoing reasons, Peloton respectfully requests Zim's Motion to Quash the Subpoena be denied and Zim be instructed to comply no later than April 14, 2025.

Dated: March 21, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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